

ADDING OTHER ASSETS TO THE MIX

So far, our Lazy Plan mainly consists of mutual funds with a few adjustments. The plan at this stage is completely fine to meet all our financial goals. However, not everyone will be comfortable putting their entire Investible Portfolio into financial assets. Many would want to invest a larger proportion to those assets they are comfortable with. Here, we will add various other assets to the base plan to make the plan more comfortable. Let us see how each asset class can be added to the portfolio.

FIXED DEPOSITS

Fixed deposits can be used to meet any goal that is due in less than 2 years. It is a substitute for money market and liquid funds. Fixed deposits have similar returns to these and can be withdrawn prematurely as well. Fixed deposits can also be used for emergency system cash.

However, we should be careful to select a safer bank for fixed deposits. Also, we will avoid putting all our life savings in fixed deposits. These are safe but produce very poor returns and as a result, are not ideal in the long term scenarios.

